COMPANY UPDATE

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EV/Mobility Team

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Kia (000270)

CEO Investor Day: EV3 to spur mass EV adoption

- At its CEO Investor Day on Apr 9, Kia emphasized its strong position to navigate tariffs, its strategy to gain EV market share (via rolling out mass-market EVs), and its planned expansion into new auto segments (PBVs and pickups).
- Backed by the highest profitability among mass-market brands and a vertically integrated value chain, Kia should be able to effectively cope with the US tariffs. A key point to watch is whether the launch of its mass-market EVs translates to market-share gains in Europe.
- Its current share price (KRW83,800) reflects tariff fears, and based on a DPS of KRW5,000 (its pledged minimum) offers a dividend yield of 6%. Its shares should recover as its US market-share grows, which rise should begin in April.

▶ AT A GLANCE

BUY

Target price	KRW130,000	51.5%
Current price	**KRW85,800**	
Market cap	KRW34.1t/USD23.9b	
Shares (float)	397,672,632 (60.3%)	
52-week high/low	KRW132,300/KRW82,000	
Avg daily trading value (60-day)	KRW117.7b/ USD82.6m	

▶ ONE-YEAR PERFORMANCE

	1M	6M	12M
Kia (%)	-13.8	-13.9	-25.1
Vs Kospi (%pts)	-10.7	-8.5	-19.3

▶ KEY CHANGES

(KRW)	New	Old	Diff
Recommend.	BUY	BUY	
Target price	130,000	130,000	0.0%
2025E EPS	24,214	24,214	0.0%
2026E EPS	25,572	25,572	0.0%

▶ SAMSUNG vs THE STREET

No of estimates	23
Target price	137,957
Recommendation	4.0

※ Rating: 4 < → BUY, 3 = HOLD, 2 > → SELL

WHAT'S THE STORY?

How to navigate tariffs: Given the chaos surrounding global automakers' supply chains, including for North American automakers, we believe that Kia will see tariff adjustments (by the US administration) within the next 3-4 months.

- **Short term:** All Kia cars produced in the US will be sold there, while those sold in Canada/Mexico will be made in Korea or Mexico. Kia will not raise prices just yet, but will wait to see how its rivals react to the tariffs. With the highest profitability among mass-market brands, Kia's fundamentals look strong enough to weather the tariffs.
- **Longer term:** There is a clear trend towards increasing local manufacturing (*ie*, making autos in the country they are sold). The Savannah plant (US) can assemble 200,000 autos *pa*. The company' global value chain needs to be reorganized.

(Continued on the next page)

SUMMARY FINANCIAL DATA

	2024	2025E	2026E	2027E
Revenue (KRWb)	107,449	112,634	115,934	115,105
Operating profit (KRWb)	12,667	11,972	12,215	13,356
Net profit (adj) (KRWb)	9,775	9,629	10,169	11,037
EPS (adj) (KRW)	24,413	24,214	25,572	27,755
EPS (adj) growth (% y-y)	12.1	-0.8	5.6	8.5
EBITDA margin (%)	14.2	13.2	12.9	13.8
ROE (%)	19.1	16.2	15.3	14.8
P/E (adj) (x)	4.1	3.5	3.4	3.1
P/B (x)	0.7	0.5	0.5	0.4
EV/EBITDA (x)	1.6	1.0	0.4	-0.2
Dividend yield (%)	6.5	7.6	7.9	8.2

Source: Company data, Samsung Securities estimates

Pay attention to changes in European EV market share following Kia's launch of mass-market EVs

- **European EV demand surging:** The European EV market grew 25% y-y in 1Q and is projected to expand at a CAGR of more than 20% over 2025-2027, supported by the release of some 40 affordable EV models, tighter CO_2 regulations, and Germany's subsidy policy (which is expected to be announced in 2H25).
- **Kia to launch series of affordable EVs over 2025-2026:** Kia is slated to roll out the EV2, EV3, EV4, EV5 and PV5 over the next two years. With Teslas falling out of favor in Europe, Kia and Chinese EV makers are likely to vie for market share there. Despite a weighty countervailing tariff (17-48%), Chinese EV makers have left their auto prices untouched, which response has helped them defend their market share despite the arrival of several competitive non-Chinese EVs. Kia's EV market share in Europe has grown following the launch of the EV3, reaching 4.8% in Feb 2025, a figure surpassing both Tesla's market share (4%) and BYD's (4.6%).

Keep an eye on entry into new segments (pickup trucks and PBVs) and how this shapes its sales trend

- **Enters pickup truck segment with Tasman:** Kia aims to sell 80,000 units of the pickup truck the Tasman in Korea, MENA, and Australia (combined) annually. In Korea, Kia sold 2,000 units on the first day of its launch in March, while in Australia preorders have passed the 20,000 mark.

  In 2028, Kia is scheduled to launch an electric pickup truck in North America, the world's largest pickup truck market (demand of 3.5m units *pa*). The model will be available in two trims: BEV and EREV. The North American market for electric pickups is projected to grow from 0.23m units in 2025 to 1.28m units in 2034.
- **PBV business to start with the PV5 in August:** Kia's PBV-dedicated plant in Hwaseong will start production in 2025. Kia targets selling 250,000 PBVs in 2030 (150,000 units of the PV5 and 100,000 units of the PV7).

  The global light commercial vehicle (LCV) market is set to grow from 3.2m units in 2023 to 3.5m units in 2030. Currently, a miniscule percentage of LCVs are electric, though the figure is expected to reach 33% (1.5m units) by 2030. LCV demand is large in Europe. Ford and Renault have the lion's share of the retrofitted LCV market, which market has margins of 15-30% after A/S and retrofitting costs. LCV retrofitting incurs modification costs (USD10,000-15,000) and has an environmental impact. By addressing these pain points through tailored production, Kia should easily sell 250,000 PBVs *pa*.

  Additionally, Kia has formed partnerships with leading companies in the areas of ride hailing, logistics, and utilities (sector), which should lead it into various other domains. It will initially focus on selling autos, but ultimately aims to tie in services and grow into a platform business.

Watch for volume growth-led profitability gains

- **Setting itself apart by growing amid soft global auto demand growth:** Kia targets global wholesales of 3.2m units in 2025 (up 4.1%) and retail sales of 3.17m units (up 6.1%).

- **Expanding market share in US and India:** Hyundai Motor (HMC)/Kia together are poised to become a top-three player in the US auto market, as their competitors including Nissan, Stellantis, and Ford are struggling. In India, Kia has launched A-segment SUV the Syros, and plans to launch a second-generation Seltos there in 2H.
- **May return to Russia in 2H:** Kia used to be the second-largest seller of autos in Russia (220,000 units *pa*) before pulling out of the market. Chinese automakers now dominate the Russian auto market, with a combined market share of 70%. If Kia does return, competition would likely be fierce. Still, we estimate that Kia's sales volume would quickly recover to around 100,000 units *pa*.

Lack of new autonomous driving technology over 2026-2027 disappoints: Hyundai Motor Group's autonomous driving technology development efforts are being led by 42dot. In early April, the group announced a new SDV platform: Pleos. Among global legacy automakers, HMG is ahead of the pack in terms of securing autonomous driving technologies, but the group still lags behind Tesla and Chinese EV makers (now commercializing Level 2+ to Level 3 autonomous driving) by two years.

- **ADAS adoption among Kia vehicles hits 87% in 2024:** Of the Kia autos sold in 2024, 87% were equipped with ADAS (vs 44% in 2020). The sales portion of autos featuring advanced technology expanded from 2.1% in 2020 to 22.5% in 2024. While consumers are increasingly favoring ADAS features, BYD has said it plans to offer ADAS at no extra cost in its EVs. Xiaomi also offers Level 2+ features for free.
- **SDVs from 2027:** Kia plans to make 1,000 units of the SDV Pace Car featuring Level 2+ autonomous driving technology in 2026, introduce Level 2+ autonomous driving to production models in 4Q27 (2m units), and bring full-stack SDV technology to all of its models in 2028 (cumulative 7m units). HMC believes the high-performance chips in its autos will have computing power of 400 TOPS in 2028 and 800 TOPS in 2030.

2030 global sales plan cut by 109,000 units: Kia has lowered its Chinese sales and global EV sales targets, though plans to aggressively sell hybrid vehicles worldwide.

- **Global sales goal update:** Kia plans to raise its global vehicle sales from 3.08m units in 2024 to 3.216m units in 2025 (up 4.1%), 3.749m units in 2027, and 4.191m units in 2030. It aims for PBV sales of 0.25m units *pa* by 2030 (100% electric).
- **Global capacity to rise by 620,000 units:** Kia aims to: 1) run its Mexican plant (current capacity: 300,000 units) in three shifts and add a new 150,000-unit production line; 2) add 200,000 units of capacity to its US factory in Savannah, Georgia; 3) add 50,000 units of capacity in India; 4) expand its Kazakhstan CKD plant (current capacity: 100,000 units) by 50,000 units; and 5) build a PBV plant with 200,000 units of capacity.
- **2030 BEV sales goal cut by 341,000 units:** Kia plans to raise its global BEV sales from 264,000 units in 2024 (up 11%) to 324,000 units in 2025 (up 22.7%), 783,000 units in 2027, and 1.26m units in 2030, expanding its BEV sales portion from 9% in 2024 to 10% in 2025, 20% in 2027, and 30% in 2030. Kia launched a new BEV model in 2024 and intends to roll out five new BEV models in 2025, with a plan to have a portfolio of 15 BEV models by end-2027.

- **Next-generation battery development:** Kia is advancing battery packing technology to achieve a 30% cost reduction in battery costs and 15% energy density gains by 2030.
- **2030 hybrid vehicle sales goal raised by 110,000 units, with plans for full hybrid lineup:** Kia plans to raise its global hybrid vehicle sales from 383,000 units in 2024 (up 23%) to 492,000 units in 2025 (up 28.5%), 817,000 units in 2027, and 882,000 units in 2030, expanding the sales portion of hybrids from 12.4% in 2024 to 15.3% in 2025, 22% in 2027, and 24% in 2030. The company is developing hybrid technology for both small and large engines, planning to release hybrid variants of all of its models (including the Seltos and Telluride).

Financial plan: Based on an exchange rate of KRW1,320/USD, Kia targets 2025 sales of KRW112.5t and an operating margin of 11%. It aims to keep its operating margin above 10% through 2030.

- **By 2027:** Kia plans to roll out mass-market EVs while strengthening its margins on hybrids. Hybrids offer profitability comparable to that generated by ICE vehicles thanks to the high ADAS adoption rate and a preference for top-tier trims. By 2027—when Kia has a full lineup of hybrids—we believe that these hybrids will generate an operating margin of 15-18%.
- **By 2030:** With a sales volume of 1m, EVs can offer a profitability of at least 10%.

Investment plan raised by KRW4t: Kia plans to invest a total of KRW42t over the next five years, which represents an increase of KRW4t compared with the previously announced KRW38t figure. More investments will be made in electrification, energy, robotics, and autonomous driving.

- **Future businesses to be allocated KRW19t:** Out of this KRW42t, KRW19t will be allocated to future businesses, including electrification (67%), SDV (9%), robotics (8%), and energy (5%).

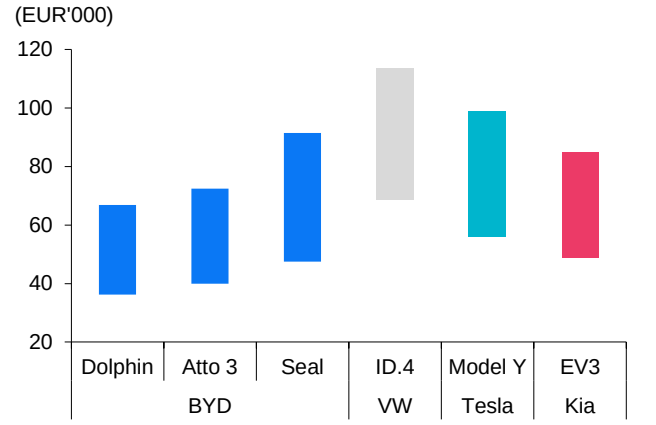
Total payout ratio target set at 35%: Kia says it will distribute 25% of its net profit as dividends and use 10% of its net profit to buy (and cancel) shares. It has committed to a minimum DPS of KRW5,000.

US production as portion of US sales volume; impact of tariffs on sales and operating income

('000 units/ USDm)	GM	Ford	Toyota	Honda	Nissan	VW	Stellantis	Tesla**	HMC	Kia	HMG	With Metaplant operating	Other	Total
US sales volume	2,705	2,109	2,340	1,424	924	724	1,326	604	912	796	1,708	1,708	2,595	16,459
US production	1,721	1,835	1,270	1,025	526	174	901	604	361	354	715	1,215	1,543	10,314
US production portion (%)	**63.6**	**87**	**54.3**	**72**	**56.9**	**24**	**67.9**	**100**	**39.6**	**44.5**	**41.9**	**71.1**	**59.5**	**62.7**
US export sales	29,520	13,919	32,100	11,970	11,940	16,500	12,750		16,530	13,260	29,790	14,790	31,560	184,355
25% of tariffs	**7,380**	**3,480**	**8,025**	**2,993**	**2,985**	**4,125**	**3,188**	**2,442**	**4,133**	**3,315**	**7,448**	**3,698**	**7,890**	**46,089**
Revenue	187,442	184,992	308,694	143,754	83,694	351,206	169,707	97,690	128,513	78,802	207,315	286,117		
Operating profit	12,784	5,219	31,626	9,508	1,028	20,210	3,989	7,076	10,443	9,290	19,733	29,023		
Operating margin	6.8	2.8	10.2	6.6	1.2	5.8	2.4	7.2	8.1	11.8	9.5	10.1		
Tariffs as portion of revenue*	**3.9**	**1.9**	**2.6**	**2.1**	**3.6**	**1.2**	**1.9**	**2.5**	**3.2**	**4.2**	**3.6**	**1.3**		
Tariffs as portion of operating profit* (%)	**57.7**	**66.7**	**25.4**	**31.5**	**290.2**	**20.4**	**79.9**	**34.5**	**39.6**	**35.7**	**37.7**	**12.7**		

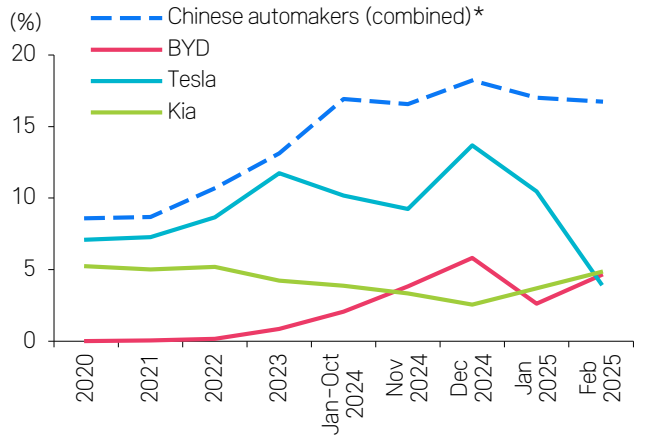
Note: * As of CY2024; assumes autos made in US are sold there; export ASP assumed at USD30,000
** Tesla's cost increase relates to changes in prices of Chinese-made batteries (countervailing tariff of 34%)
Source: Wards, Samsung Securities estimates

Kia: Price of competing models in German EV market



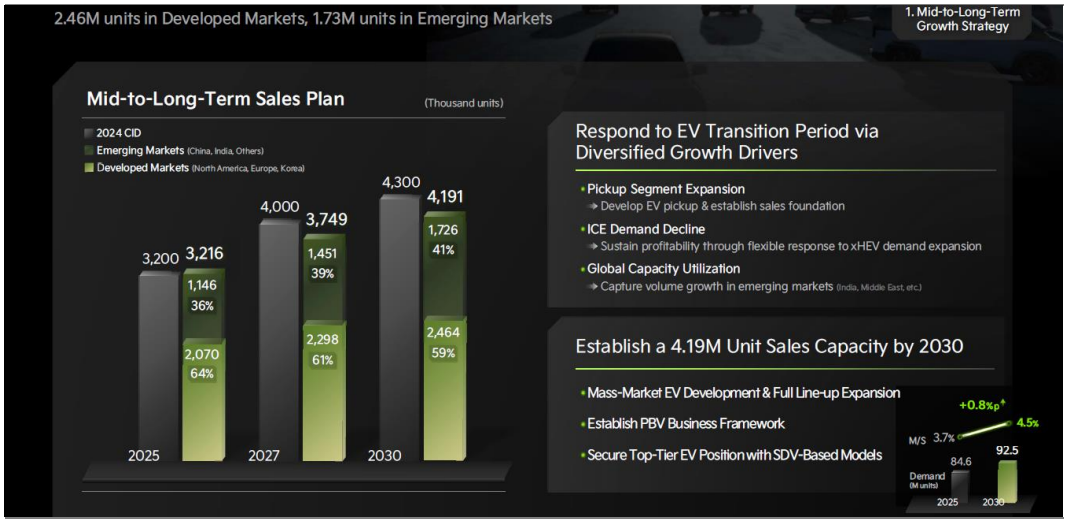
Source: Company data, Samsung Securities

Europe EV market share, by company



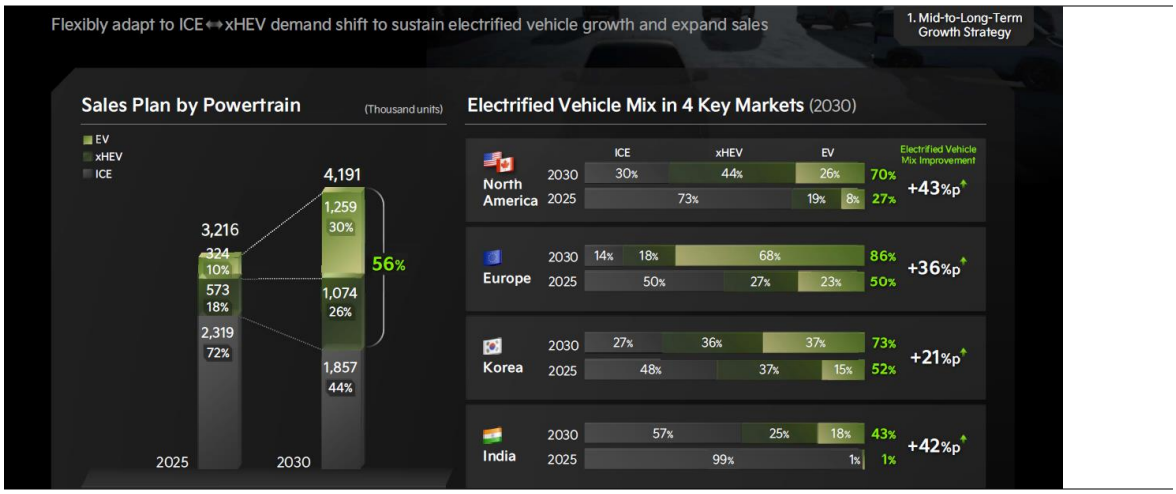
Note: *Including BYD
Source: EV-Volumes, Samsung Securities

Kia targeting global sales of 4.19m autos in 2030



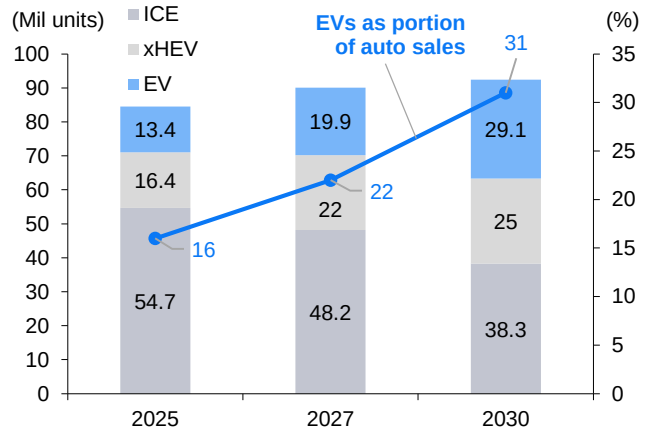
Source: Company data

EV sales plan



Source: Company data

Global EV industry



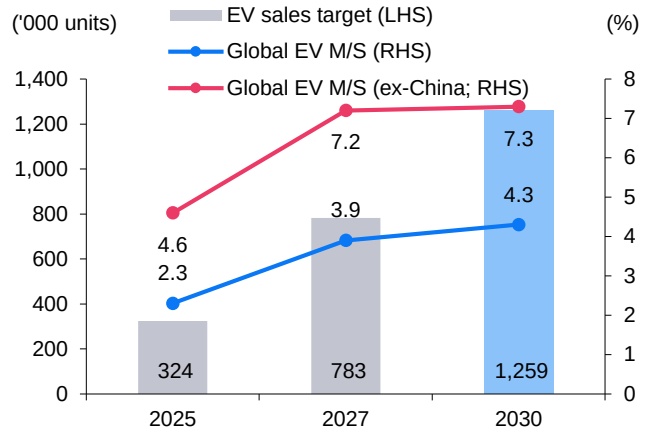
Source: Company data, Samsung Securities

EV demand in four key markets

	2025	2027	2030
EV demand ('000 units)			
North America	1,873	2,621	4,340
Europe	3,328	5,570	8,336
Korea	163	277	456
India	200	376	858
EV penetration (%)			
North America	10	14	23
Europe	22	35	54
Korea	10	17	29
India	5	8	16

Source: Company data, Samsung Securities

Kia's EV targets



Source: Company data, Samsung Securities

Kia's EV sales goals in four key markets

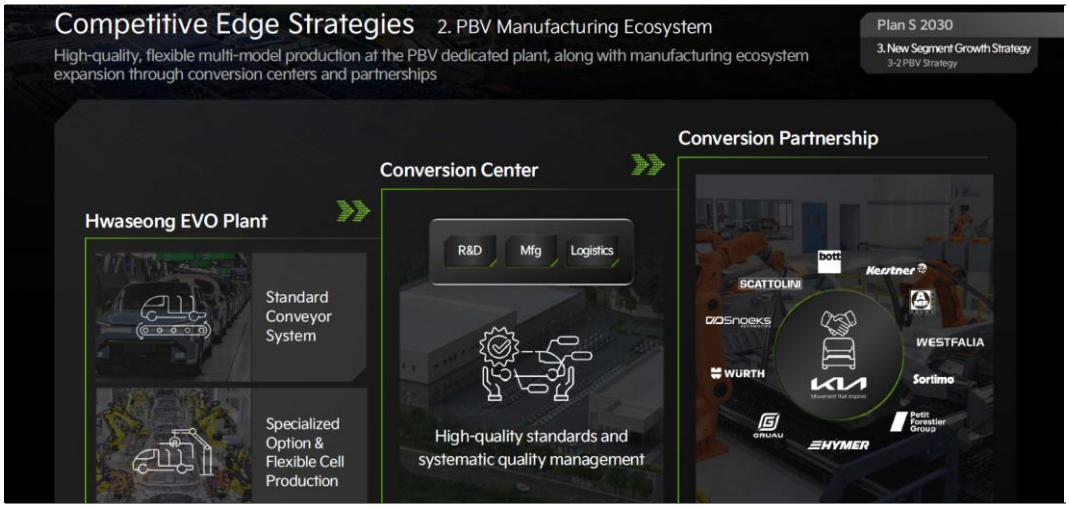
	2025	2027	2030
EV sales plan ('000 units)			
North America	75	186	287
Europe	129	333	526
Korea	84	134	215
India	3	36	72
EV mix (%)			
North America	8	18	26
Europe	23	49	68
Korea	15	24	37
India	1	10	16

Source: Company data, Samsung Securities

Competitive edge: Diverse PBV lineup

Source: Company data

Competitive edge: PBV manufacturing ecosystem

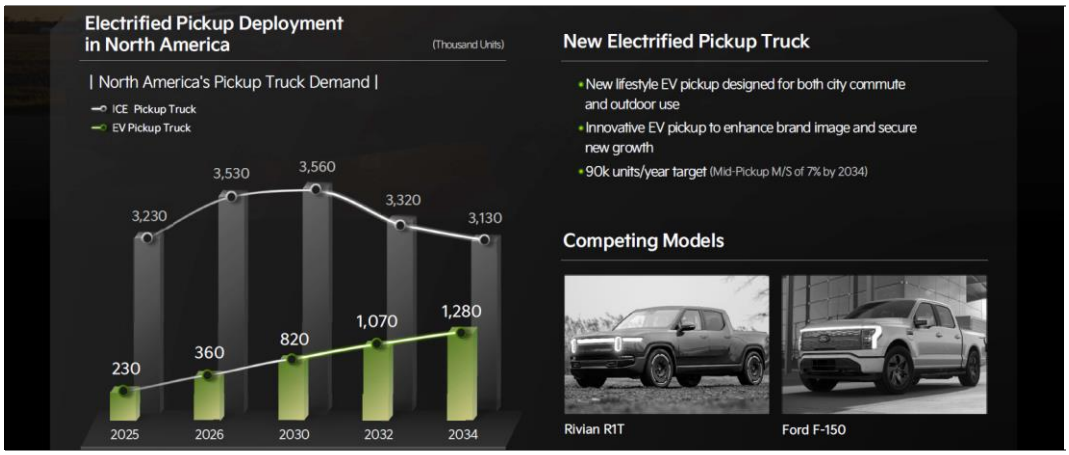


Source: Company data

Pickup truck: Strategy to entering market

Source: Company data

North American sales strategy

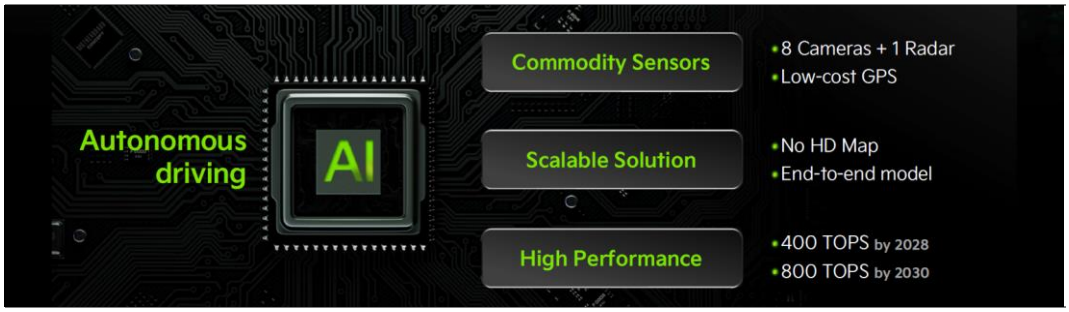


Source: Company data

HMG: Pleos software platform roadmap

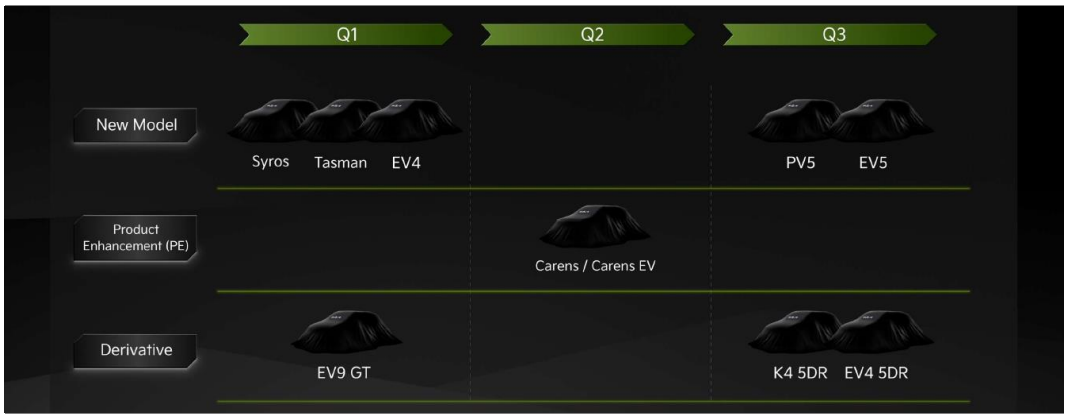
Source: Company data

Kia SDV strategy: Vehicle software - Autonomous driving AI



Source: Company data

Kia 2025 new model launch plan

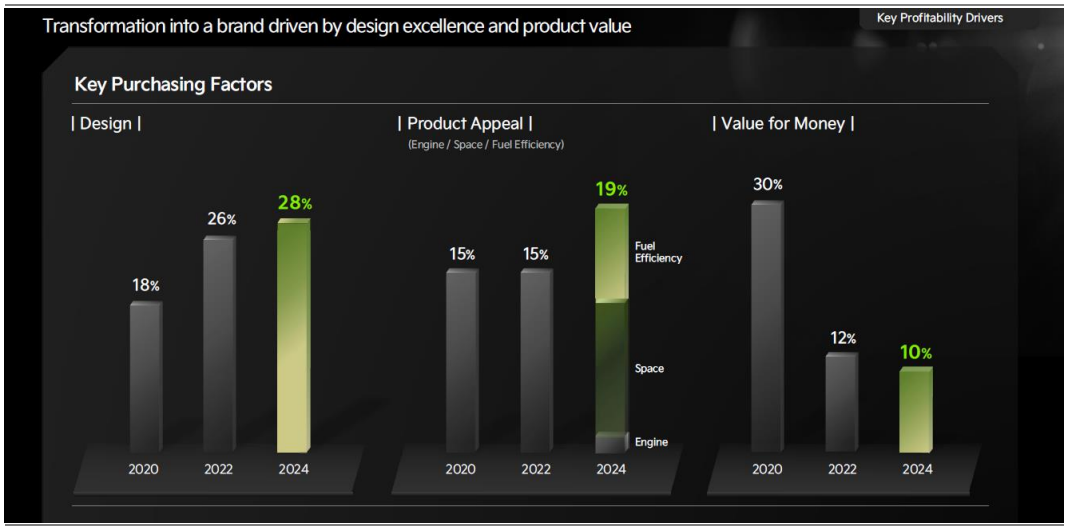


Source: Company data

Kia 2024 review

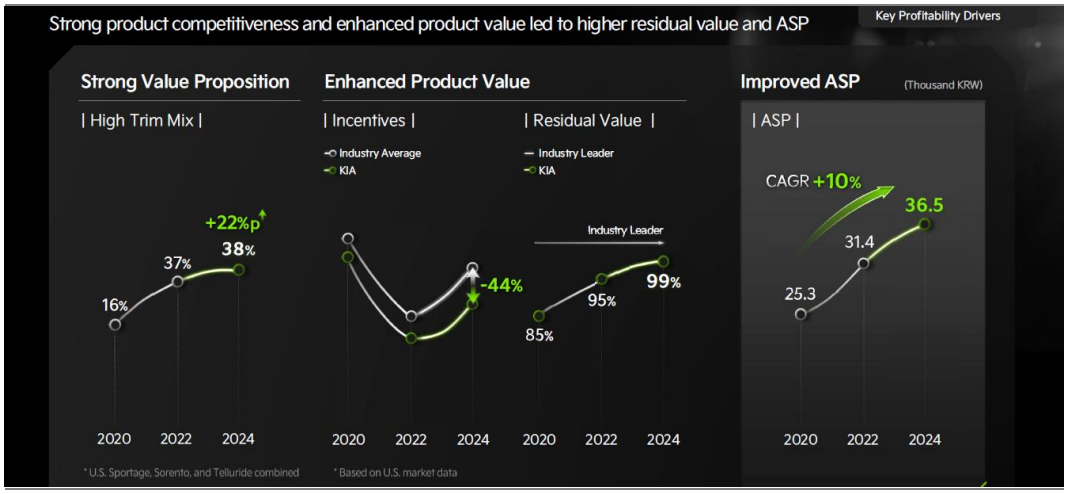
Source: Company data

Kia 2024 profitability drivers: Product factors



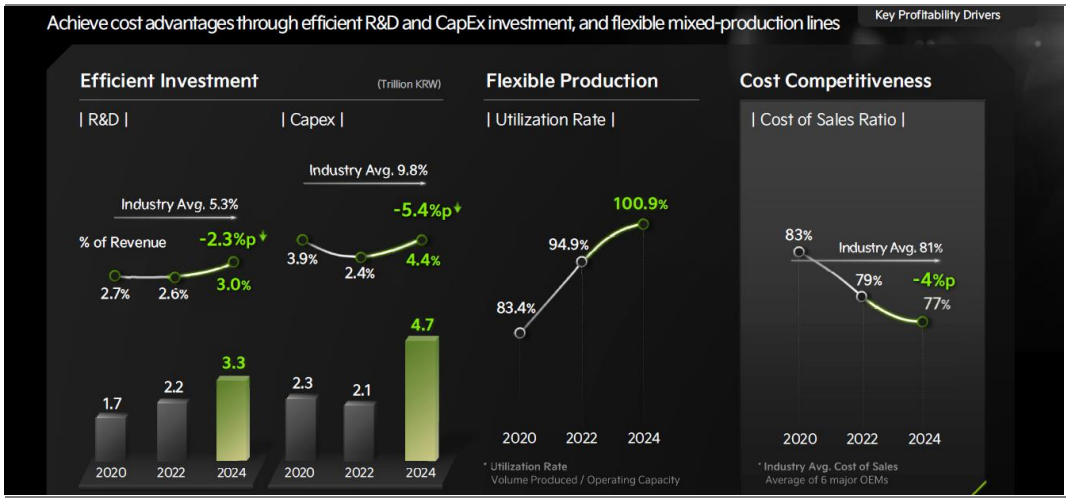
Source: Company data

Kia 2024 profitability drivers: Price factors



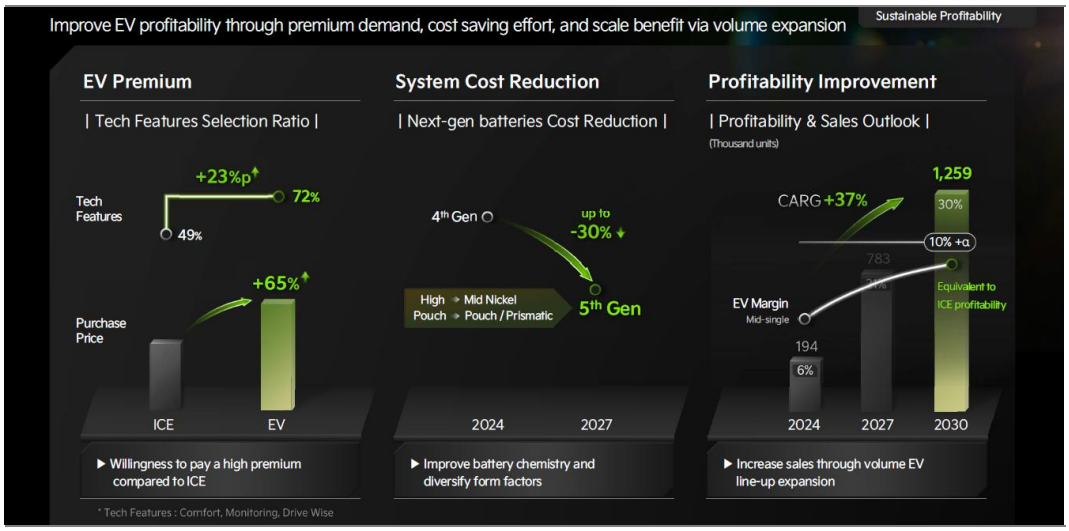
Source: Company data

Kia 2024 profitability drivers: Cost factors



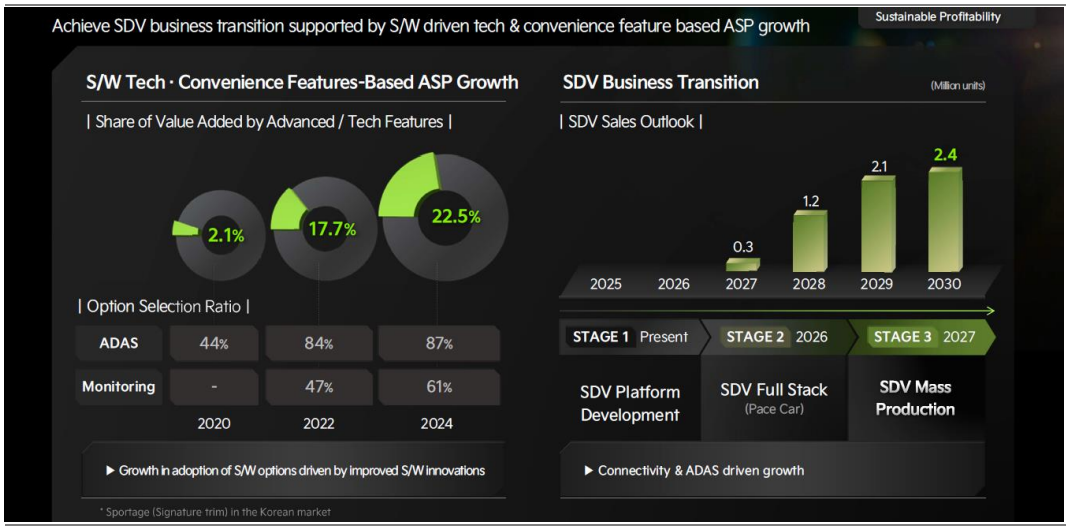
Source: Company data

Kia's longer-term profitability plan: EV profitability improvement plan



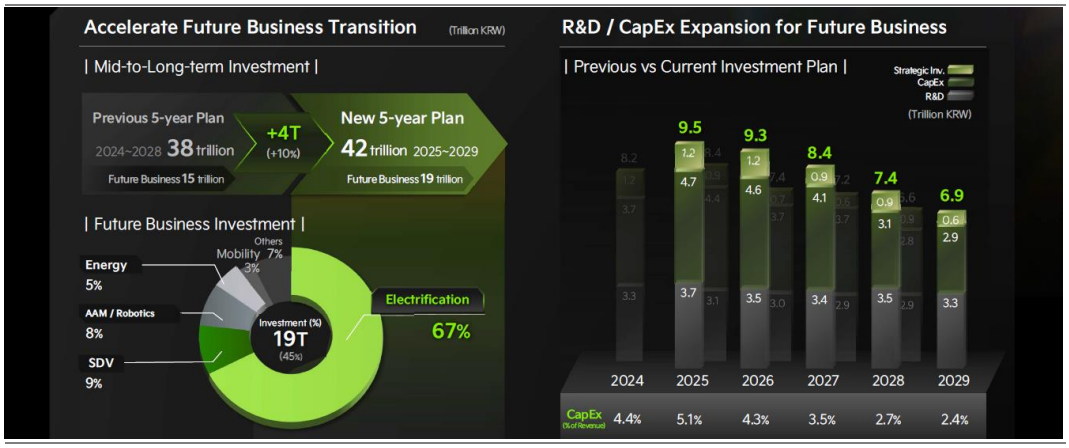
Source: Company data

Kia's longer-term profitability plan: SDV business transition



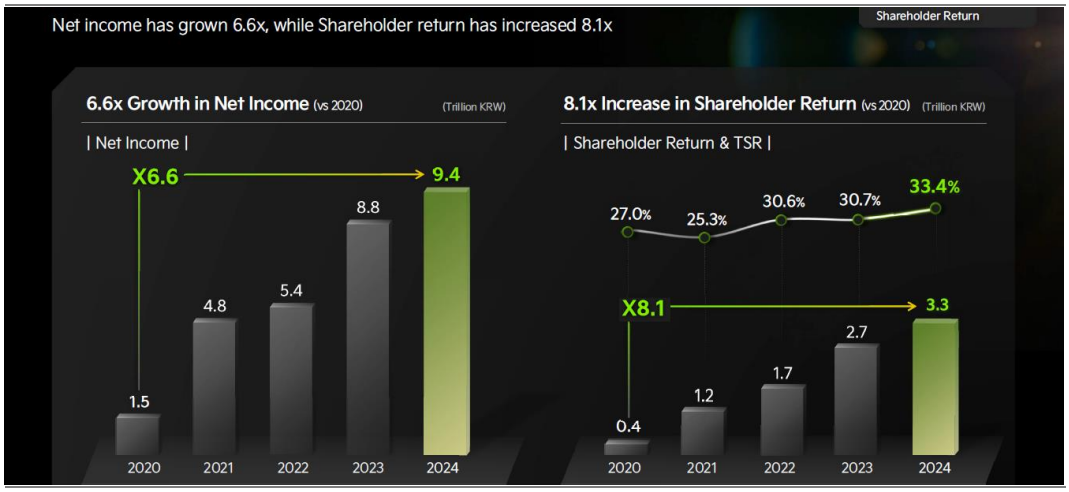
Source: Company data

Kia future investment plan: Electrification, SDV, and AAM/robotics



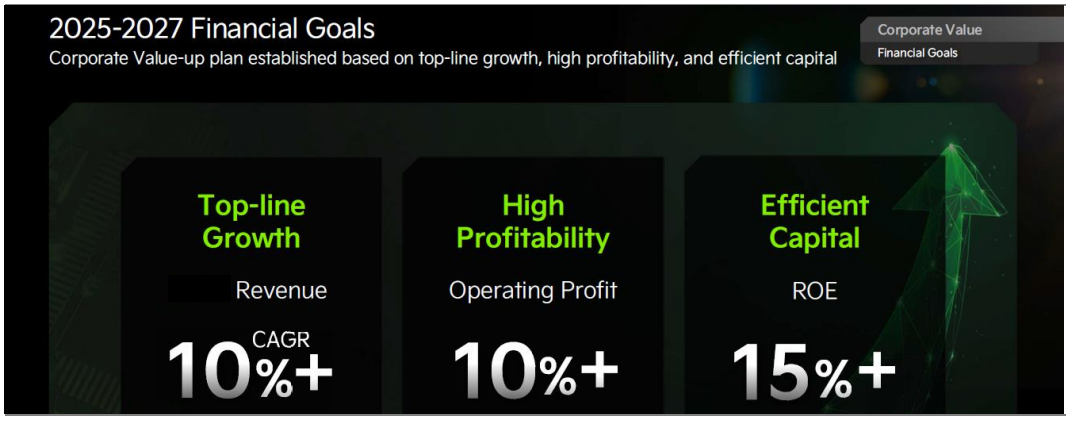
Source: Company data

Kia: How earnings and shareholder returns will grow together



Source: Company data

Kia 2025-2027 financial goals



Source: Company data

Kia: Shareholder return policy

Source: Company data

Income statement

Year-end Dec 31 (KRWb)	2023	2024	2025E	2026E	2027E
Sales	**99,808**	**107,449**	**112,634**	**115,934**	**115,105**
Cost of goods sold	77,180	82,678	87,992	90,970	89,933
Gross profit	**22,629**	**24,771**	**24,642**	**24,964**	**25,173**
Gross margin (%)	22.7	23.1	21.9	21.5	21.9
SG&A expenses	11,021	12,104	12,670	12,749	11,816
Operating profit	**11,608**	**12,667**	**11,972**	**12,215**	**13,356**
Operating margin (%)	11.6	11.8	10.6	10.5	11.6
Non-operating gains (losses)	**1,069**	**833**	**1,040**	**1,527**	**1,559**
Financial profit	1,263	1,351	1,170	1,476	1,893
Financial costs	392	610	97	99	99
Equity-method gains (losses)	684	395	520	657	689
Other	-485	-304	-553	-507	-924
Pre-tax profit	**12,677**	**13,500**	**13,012**	**13,742**	**14,915**
Taxes	3,900	3,725	3,383	3,573	3,878
Effective tax rate (%)	30.8	27.6	26.0	26.0	26.0
Profit from continuing operations	8,778	9,775	9,629	10,169	11,037
Profit from discontinued operations	0	0	0	0	0
Net profit	**8,778**	**9,775**	**9,629**	**10,169**	**11,037**
Net margin (%)	8.8	9.1	8.5	8.8	9.6
Net profit (controlling interests)	8,777	9,773	9,629	10,169	11,037
Net profit (non-controlling interests)	1	2	0	0	0
EBITDA	13,961	15,216	14,862	14,981	15,929
EBITDA margin (%)	14.0	14.2	13.2	12.9	13.8
EPS (parent-based) (KRW)	21,770	24,413	24,214	25,572	27,755
EPS (consolidated) (KRW)	21,772	24,418	24,214	25,572	27,755
Adjusted EPS (KRW)*	21,770	24,413	24,214	25,572	27,755

Balance sheet

Year-end Dec 31 (KRWb)	2023	2024	2025E	2026E	2027E
Current assets	**37,466**	**41,797**	**47,603**	**56,193**	**65,578**
Cash & equivalents	14,353	13,567	18,160	25,979	35,558
Accounts receivable	2,475	3,561	3,733	3,843	3,815
Inventories	11,273	12,419	13,018	13,400	13,304
Other current assets	9,365	12,251	12,691	12,971	12,901
Fixed assets	**43,162**	**50,958**	**53,850**	**53,900**	**52,623**
Investment assets	22,205	27,223	28,505	29,321	29,116
Tangible assets	16,104	18,279	19,924	19,630	18,975
Intangible assets	3,310	4,094	4,059	3,587	3,170
Other long-term assets	1,542	1,362	1,362	1,362	1,362
Total assets	**80,628**	**92,756**	**101,453**	**110,093**	**118,201**
Current liabilities	**25,674**	**26,977**	**27,890**	**28,686**	**28,486**
Accounts payable	10,369	10,455	10,959	11,280	11,200
Short-term debt	129	221	721	721	721
Other current liabilities	15,176	16,302	16,210	16,685	16,566
Long-term liabilities	**8,395**	**9,938**	**10,798**	**11,026**	**10,969**
Bonds & long-term debt	2,702	2,176	2,676	2,676	2,676
Other long-term liabilities	5,693	7,763	8,122	8,351	8,293
Total liabilities	**34,070**	**36,916**	**38,688**	**39,713**	**39,455**
Owners of parent equity	**46,552**	**55,831**	**62,756**	**70,371**	**78,737**
Capital stock	2,139	2,139	2,139	2,139	2,139
Capital surplus	1,758	1,760	1,760	1,760	1,760
Retained earnings	43,271	50,241	57,311	64,926	73,292
Other	-616	1,691	1,546	1,546	1,546
Non-controlling interests' equity	**6**	**9**	**9**	**9**	**9**
Total equity	**46,558**	**55,840**	**62,765**	**70,381**	**78,746**
Net debt	-12,718	-15,303	-19,990	-27,971	-37,510

Cash flow statement

Year-end Dec 31 (KRWb)	2023	2024	2025E	2026E	2027E
Cash flow from operations	**11,297**	**12,564**	**12,653**	**12,694**	**12,816**
Net profit	8,778	9,775	9,629	10,169	11,037
Non-cash profit and expenses	8,836	9,666	4,499	4,123	3,786
Depreciation	1,846	2,010	2,355	2,294	2,156
Amortization	507	540	535	472	417
Other	6,483	7,116	1,608	1,358	1,214
Changes in A/L from operating activities	-4,247	-4,287	654	416	-104
Cash flow from investments	**-3,107**	**-10,153**	**-4,890**	**-2,248**	**-1,438**
Change in tangible assets	-2,230	-3,424	-4,000	-2,000	-1,500
Change in financial assets	-541	-4,788	-390	-248	62
Other	-336	-1,941	-500	0	0
Cash flow from financing	**-5,596**	**-3,570**	**-2,392**	**-2,551**	**-2,673**
Change in debt	-3,622	-525	167	3	-1
Change in equity	21	2	0	0	0
Dividends	-1,403	-2,194	-2,559	-2,554	-2,672
Other	-592	-853	0	0	0
Change in cash	2,799	-787	4,594	7,819	9,579
Cash at beginning of year	11,554	14,353	13,567	18,160	25,979
Cash at end of year	14,353	13,567	18,160	25,979	35,558
Gross cash flow	**17,614**	**19,441**	**14,128**	**14,293**	**14,824**
Free cash flow	**8,961**	**9,079**	**8,653**	**10,694**	**11,316**

Note: *Excluding one-off items
**Fully diluted, excluding one-off items
***From companies subject to equity-method valuation
Source: Company data, Samsung Securities estimates

Financial ratios

Year-end Dec 31	2023	2024	2025E	2026E	2027E
Growth (%)					
Sales	15.3	7.7	4.8	2.9	-0.7
Operating profit	60.5	9.1	-5.5	2.0	9.3
Net profit	62.3	11.4	-1.5	5.6	8.5
Adjusted EPS**	63.1	12.1	-0.8	5.6	8.5
Per-share data (KRW)					
EPS (parent-based)	21,770	24,413	24,214	25,572	27,755
EPS (consolidated)	21,772	24,418	24,214	25,572	27,755
Adjusted EPS**	21,770	24,413	24,214	25,572	27,755
BVPS	117,495	141,812	159,714	179,094	200,384
DPS (common)	5,600	6,500	6,500	6,800	7,000
Valuations (x)					
P/E***	4.6	4.1	3.5	3.4	3.1
P/B***	0.9	0.7	0.5	0.5	0.4
EV/EBITDA	2.0	1.6	1.0	0.4	-0.2-
Ratios (%)					
ROE	20.4	19.1	16.2	15.3	14.8
ROA	11.4	11.3	9.9	9.6	9.7
ROIC	45.7	45.2	38.0	38.1	43.3
Payout ratio	25.0	26.2	26.5	26.3	24.9
Dividend yield (common)	5.6	6.5	7.6	7.9	8.2
Net debt to equity	-27.3	-27.4	-31.8	-39.7	-47.6
Interest coverage (x)	63.8	124.8	123.6	123.3	134.8

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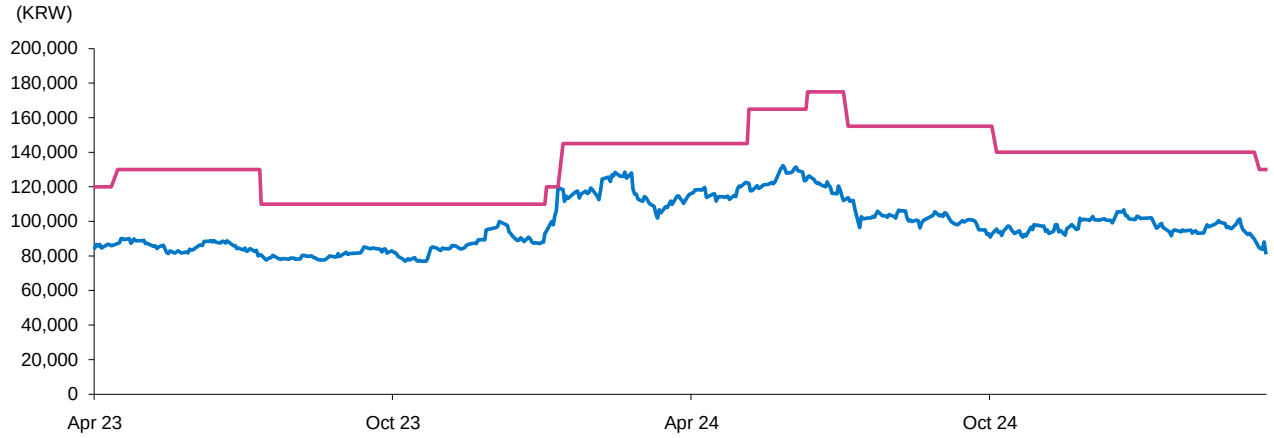
Target price changes in past two years



Rating changes over past two years (adjusted share prices)

Date	2023/3/6	4/19	5/8	8/4	2024/1/26	2/5	5/29	7/4	7/29	10/28	2025/4/7
Recommendation	BUY	BUY	BUY	BUY	BUY	BUY	BUY	BUY	BUY	BUY	BUY
Target price (KRW)	110000	120000	130000	110000	120000	145000	165000	175000	155000	140000	130000
Gap* (average)	-27.13	-28.77	-34.06	-24.00	-12.23	-19.81	-24.20	-31.41	-34.54	-30.66	
(max or min)**	-21.27	-27.58	-30.69	-9.09	-0.42	-11.38	-19.82	-27.83	-27.68	-23.79	

Note: * [(average, maximum, or minimum share price over duration of target price minus target price) / target price] x 100%
** Maximum/minimum share price if new target is higher/lower than market close on the business day prior to target price change

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